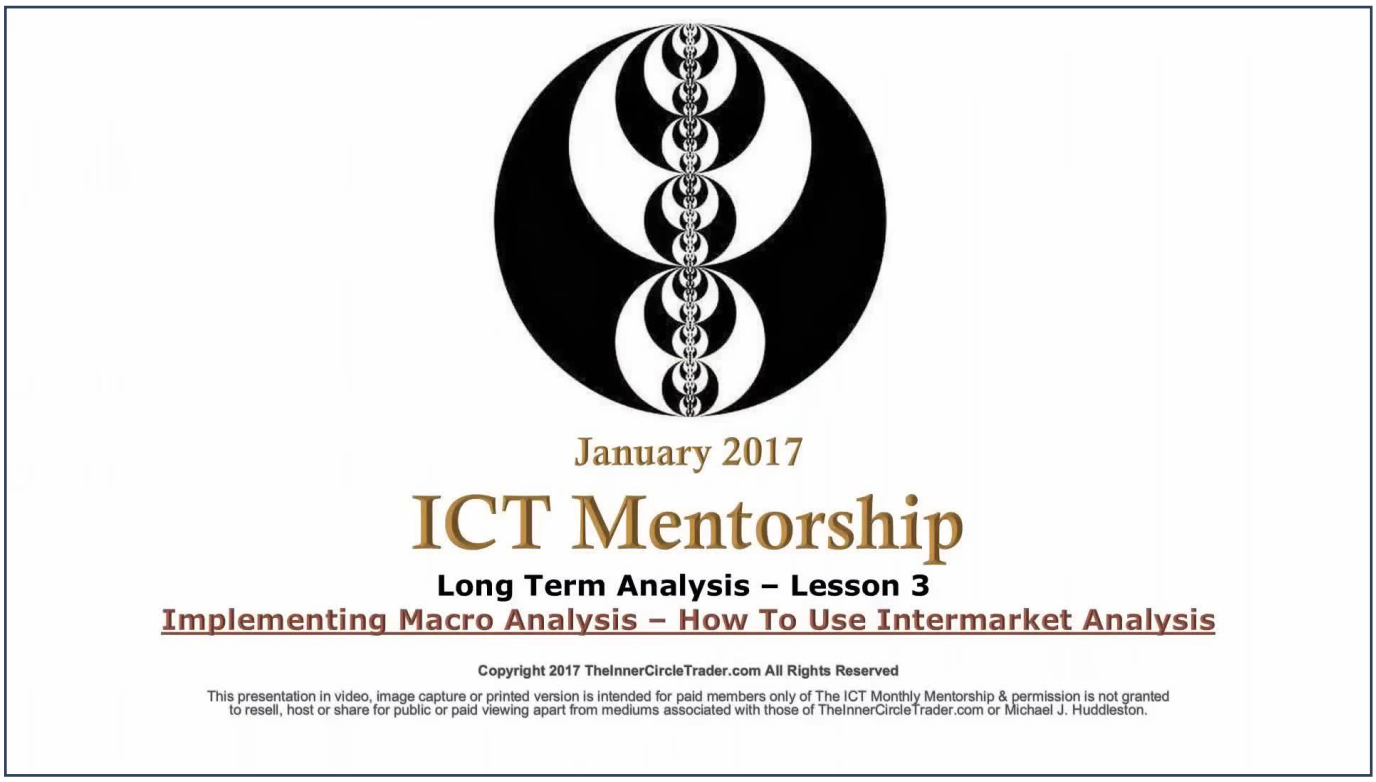
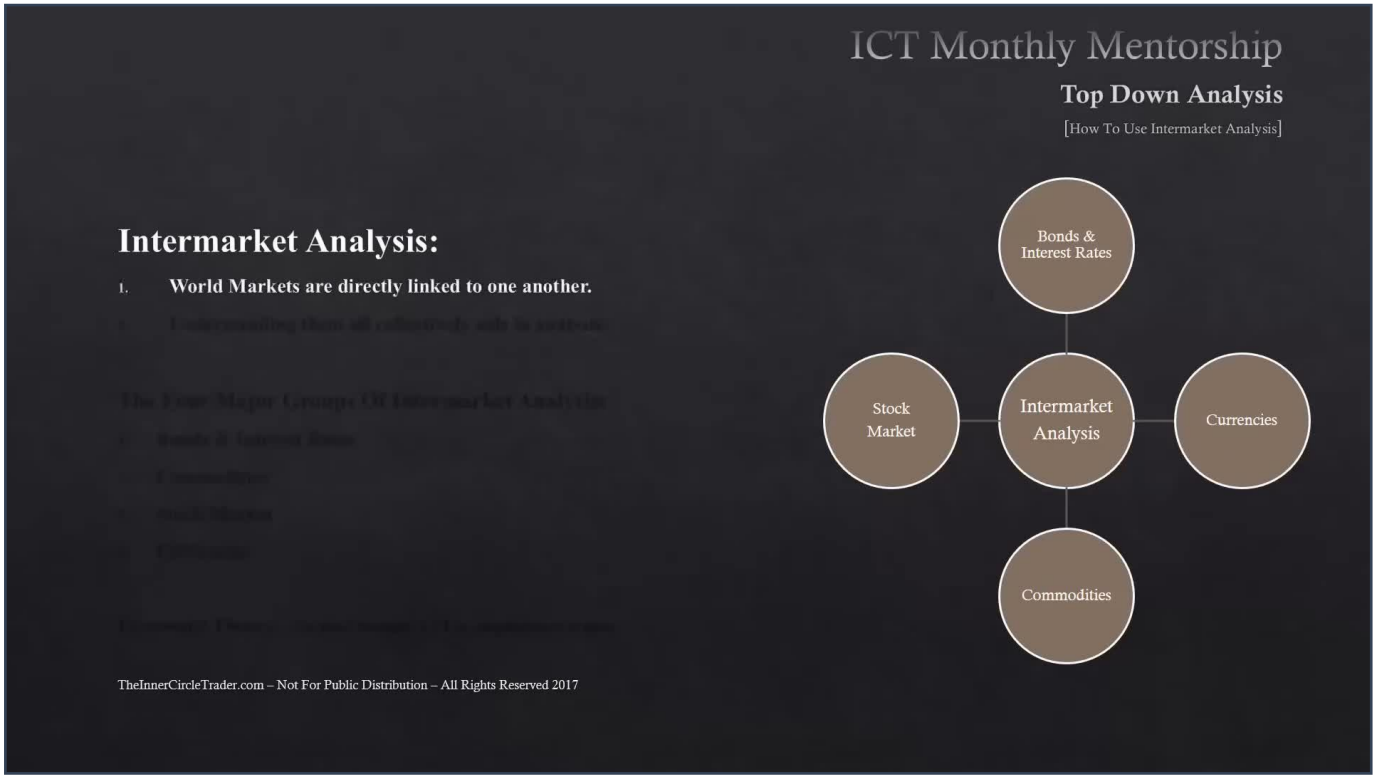
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - HOW TO USE INTERMARKET ANALYSIS



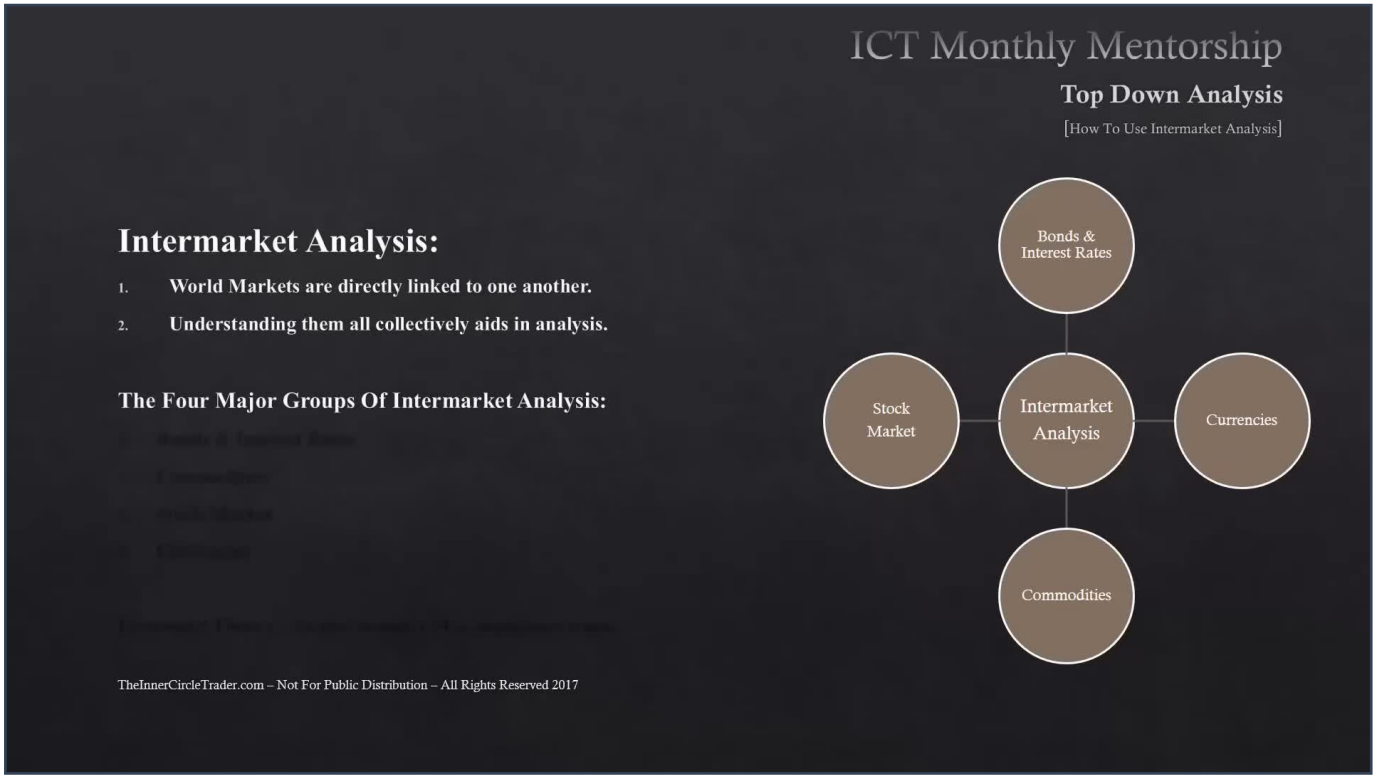
Welcome back, folks. This is lesson three in the January 2017 content for the ICT Mentorship. We're going to be discussing how to use intermarket analysis.

This presentation is predominantly conceptualized thinking, with no charts or exciting visuals. It contains dry but useful information, so it's advised to review this lesson when you can give it 100% attention, focus closely, and take notes.



World markets are directly linked to one another, a common understanding, yet many don't realize the exact relationships and correlations that exist between certain market asset classes, groups, and sectors. Close correlations exist between unexpected markets. Without a global or macro understanding of a country's exports, the relationships would not be clear.

Understanding markets as a collective whole aids in analysis. Since the January content focuses on 100% long-term analysis, the focus must be on the relationships of four key groups.



The four major groups of intermarket analysis are as follows:

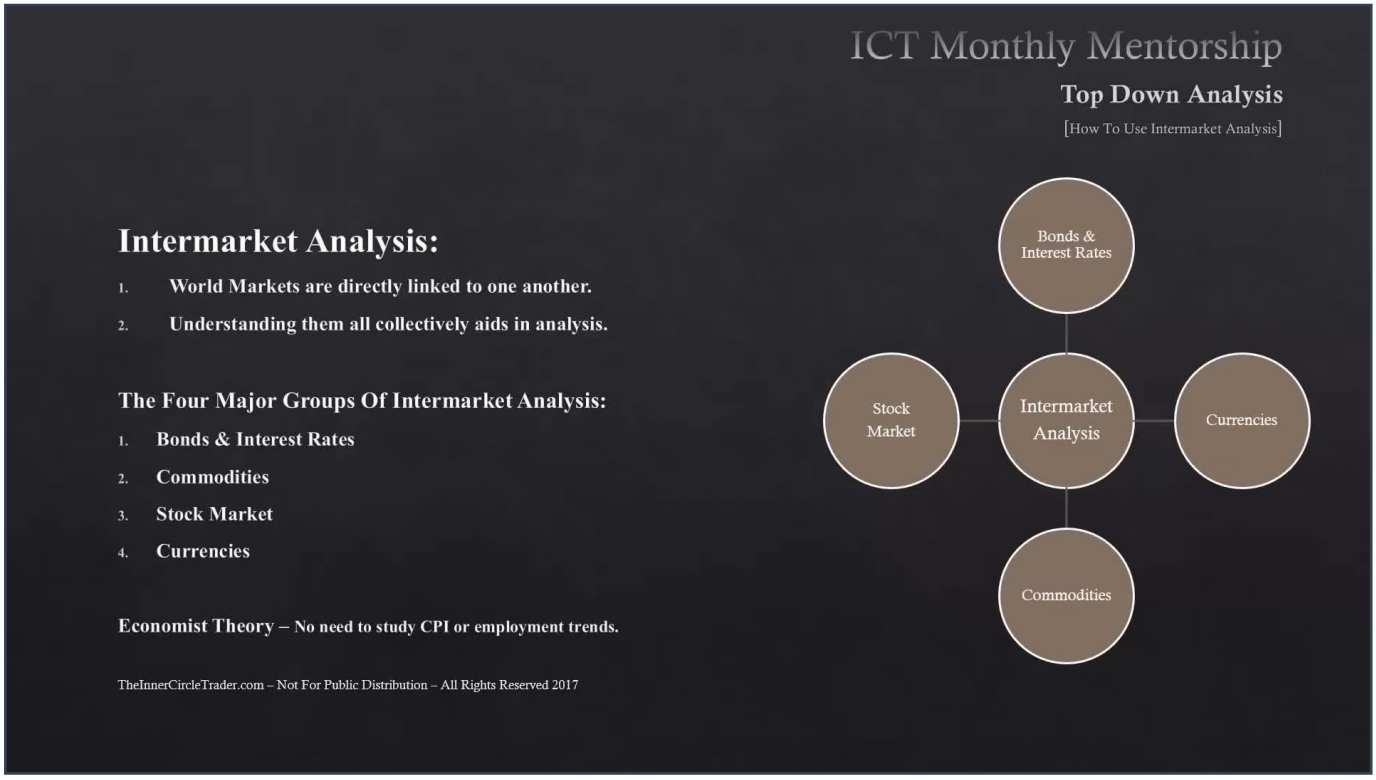
- The Bond and Interest Rate Markets

- The Commodity Markets

- The Stock Market

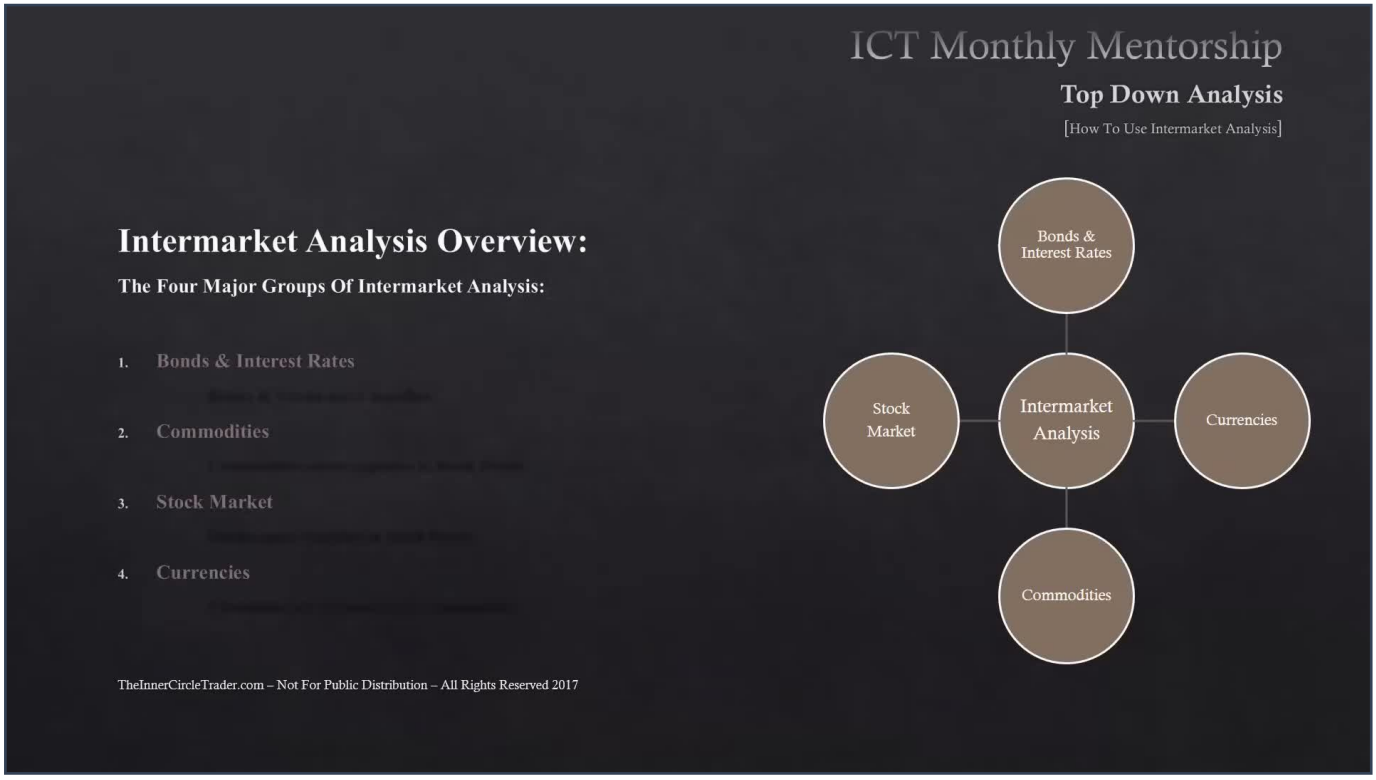
- The Currencies Market

All four groups are closely related but do not move in lock-step. For long-term macro perspectives and analysis, there will be a certain measure of lead and lag time in these market relationships. This means that effects may not be immediate; a period of lead time and lag time exists before the market reflects the expected analysis concepts.



The benefit of this approach is that it allows using an 'economist's theory' instead of wading through extensive fundamental data like CPI or employment trends. It's too much information to digest, and it's not realistic to stay abreast of all such data points. No one has been observed to consistently use fundamental data to forecast future prices with a great deal of accuracy.

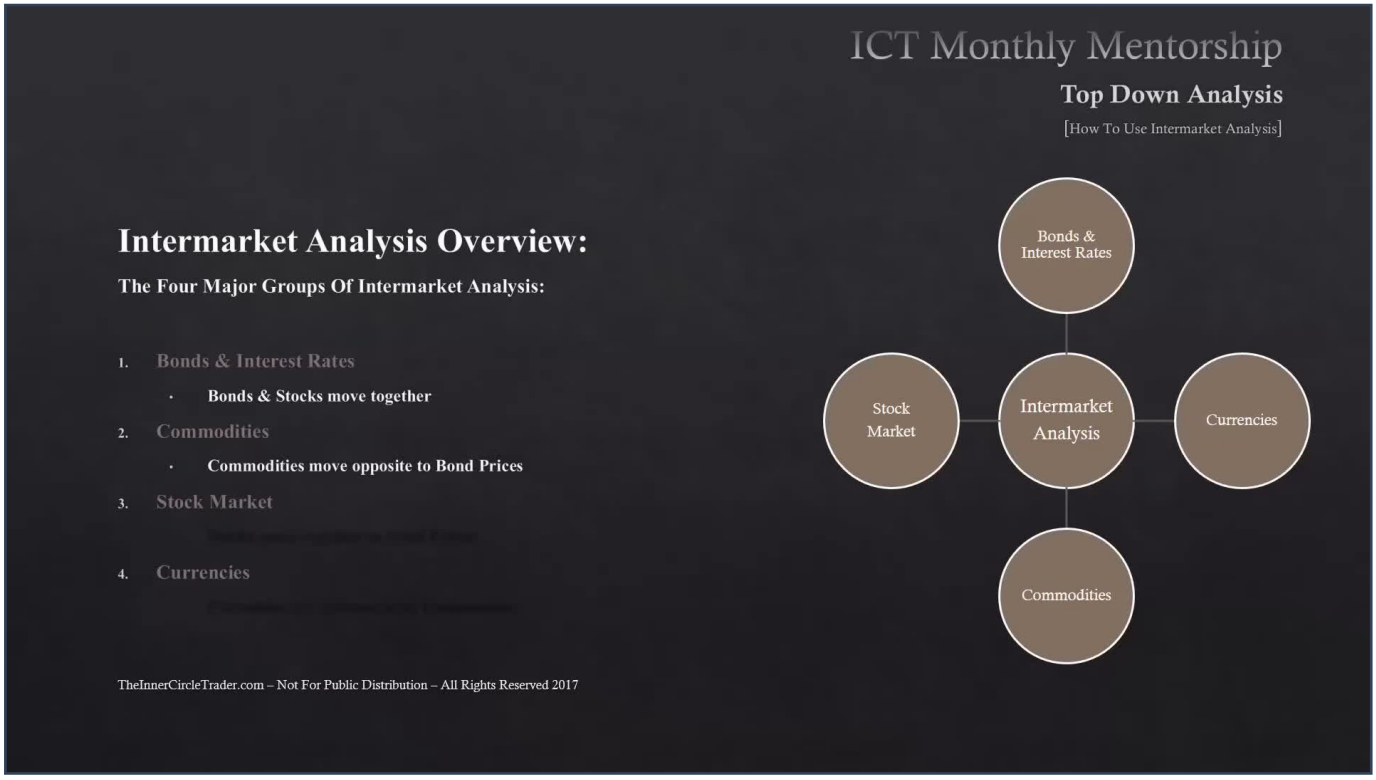
Market moves unfold slowly on a long-term basis, requiring patience. Rather than sifting through vast amounts of fundamental data, focusing on the four major intermarket groups can provide all the necessary insights a fundamentalist would ultimately gain. This teaching provides an overview of the key relationships that ICT focuses on.



The bond market and interest rate market influence the stock market. Bonds and stocks generally move together.

- If bond prices (not yields) in the Treasury bond market are rallying higher (uptrend), this is generally helpful and supportive of a bull market for stocks.

- Conversely, if the bond market is in a bear market, trending lower, it will be very hard for stocks to rally. While stocks might still rally, the underlying downward trend of the bond market will weigh on it, eventually forcing the stock market to correct and realign with the bond market's overall trend.

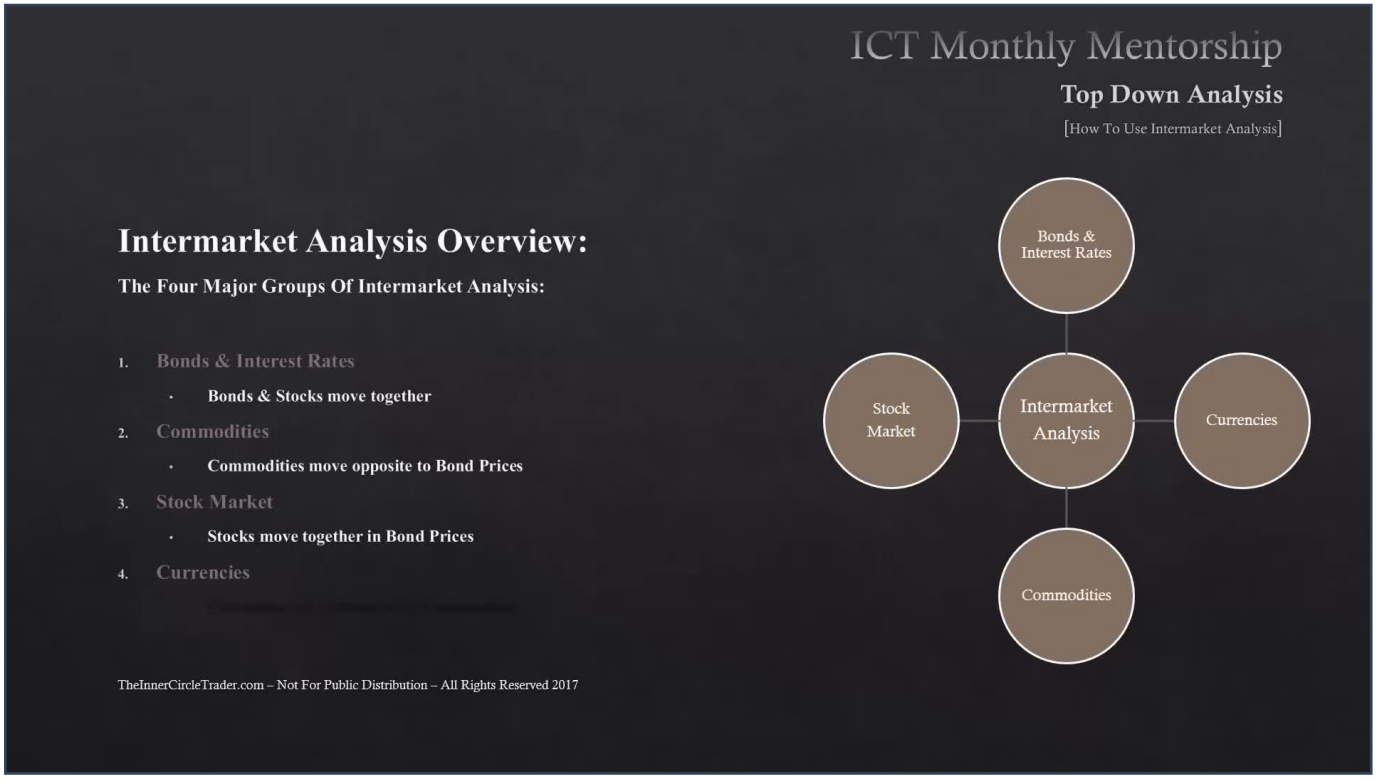


Commodities move opposite to bond prices. If bonds move higher, commodities will move lower.

Stocks move together with bonds. Stock traders should constantly refer to stock market indices and the bond market. The bond market serves as a key indicator:

- If bond prices are going higher, signifying lower interest rates, stocks like this environment, providing confidence for stock buyers due to underlying fundamental strength.

- If bonds are trading lower, meaning interest rate yields are increasing, stocks do not like higher interest rates. Bonds themselves do not like a high interest rate environment.

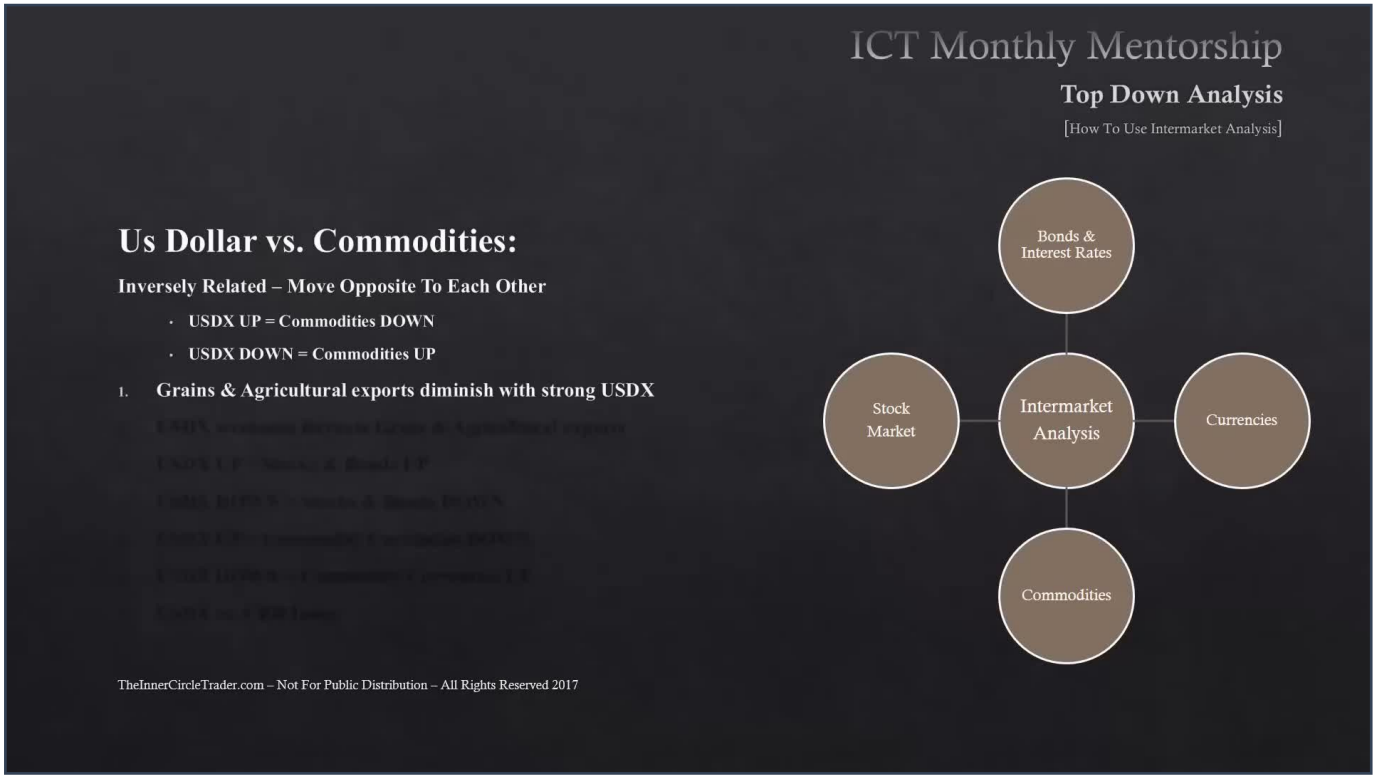


Currencies are influenced by commodities. The effects of export sales and production related to certain commodities directly impact specific commodities and currencies.

The US Dollar versus Commodities exhibits an inversely related relationship, meaning they move opposite to each other:

- If the US Dollar Index is trading higher, commodities as a whole should be trending lower.

- If the US Dollar Index is trending lower, commodities will be moving higher.



When examining commodities, grains and agricultural products are highly export-sensitive:

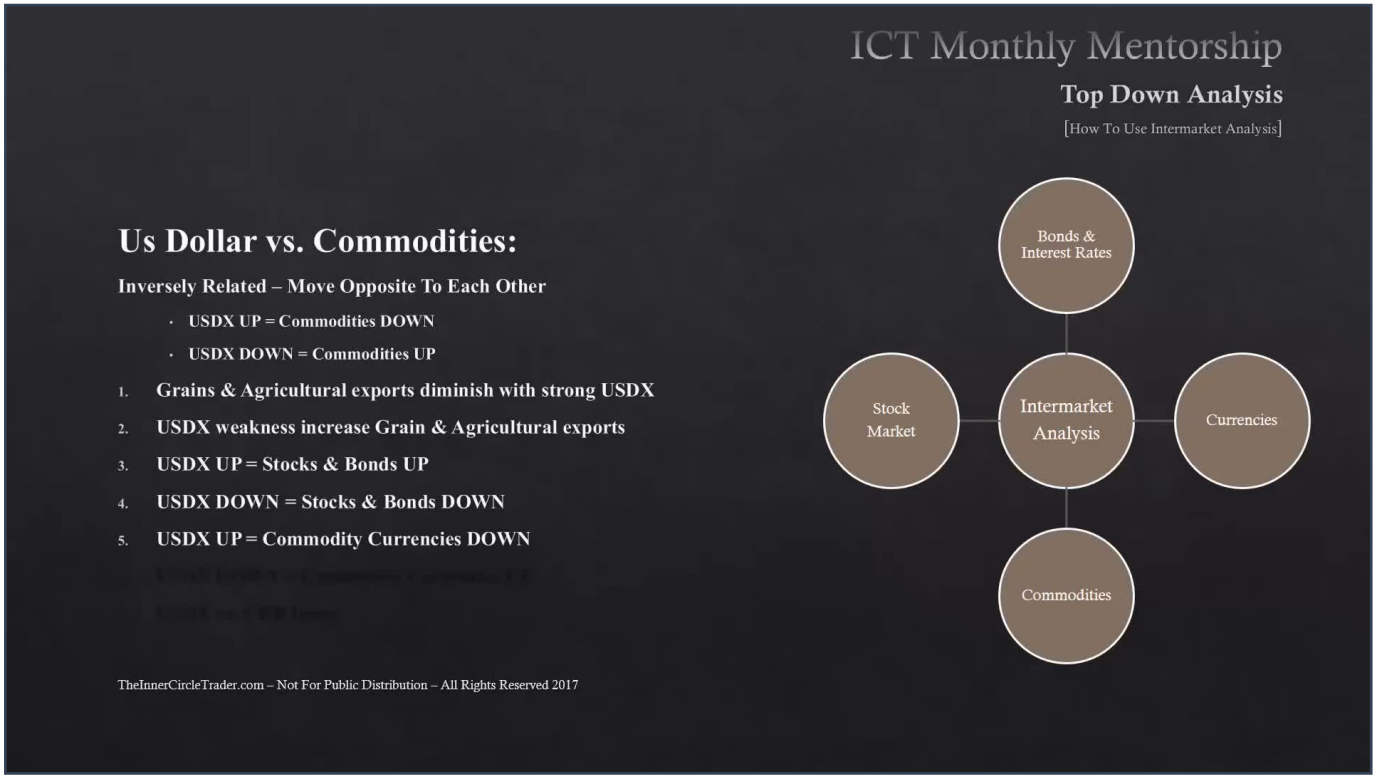
- A strong dollar diminishes demand for grain and livestock/agricultural exports (grains and meats).

- US Dollar Index weakness instills increased demand for grain and agricultural exports.

The US Dollar Index also affects stocks and bonds:

- If the US Dollar Index is going higher or rallying, this is seen with stocks and bonds moving up, as it is supportive of the stock and bond market going higher.

- If the US Dollar Index moves lower, this is seen with stocks and bonds both trending lower as well.



The US Dollar Index affects commodity currencies:

- If the US Dollar Index is moving higher, this will be seen with commodity currencies moving lower.

- If the US Dollar Index is moving down, it will lead to a commodity currency rally or movement higher.

To measure this relationship, one can use the US Dollar Index versus the CRB Index (Commodity Research Bureau Index), available at crbtrader.com. More information will be provided in the PDF notes.

BONDS VS. COMMODITIES: INVERSE RELATIONSHIP AND INFLATIONARY SIGNALS

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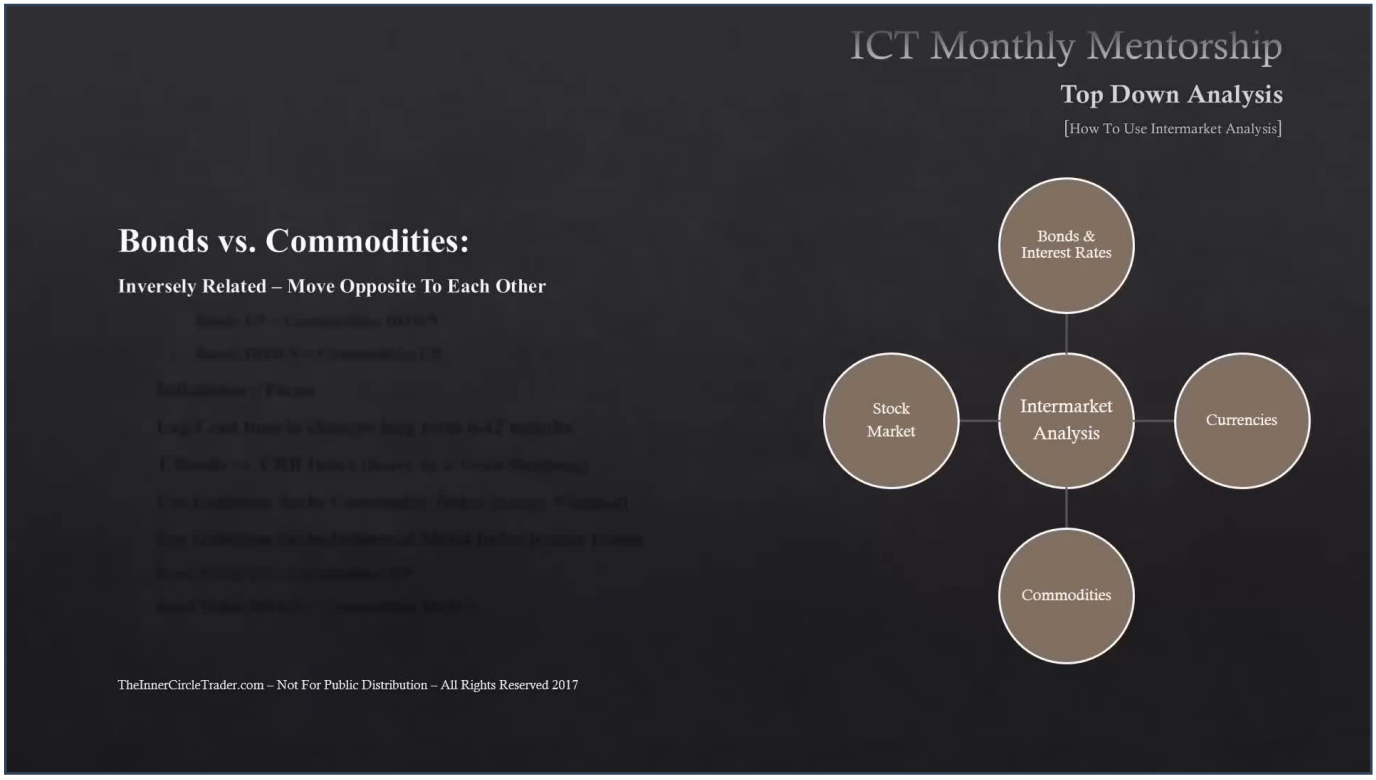
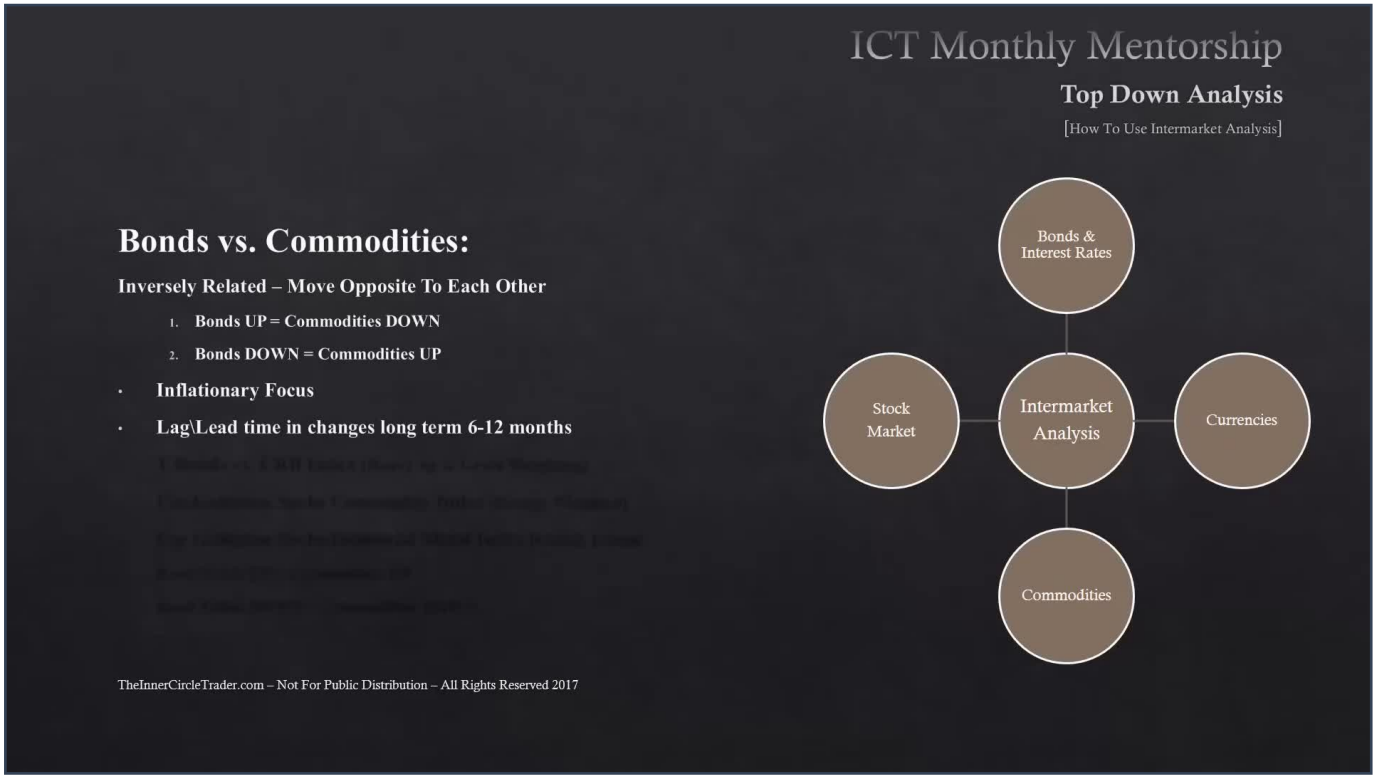


Bonds and commodities also have an inverse relationship, moving opposite to one another:

- If bond prices (e.g., Treasury bond market) move up or trade higher, this generally impacts commodities, causing them to move lower.

- If bonds are trending or trading lower, this allows commodities to rally.

The relationship between bonds (Treasury bonds, 30-year Treasury notes) and the commodity market primarily focuses on inflationary impact. Commodities are the leading indication for inflationary environments, so signs of inflation will be noticed in commodity markets first.

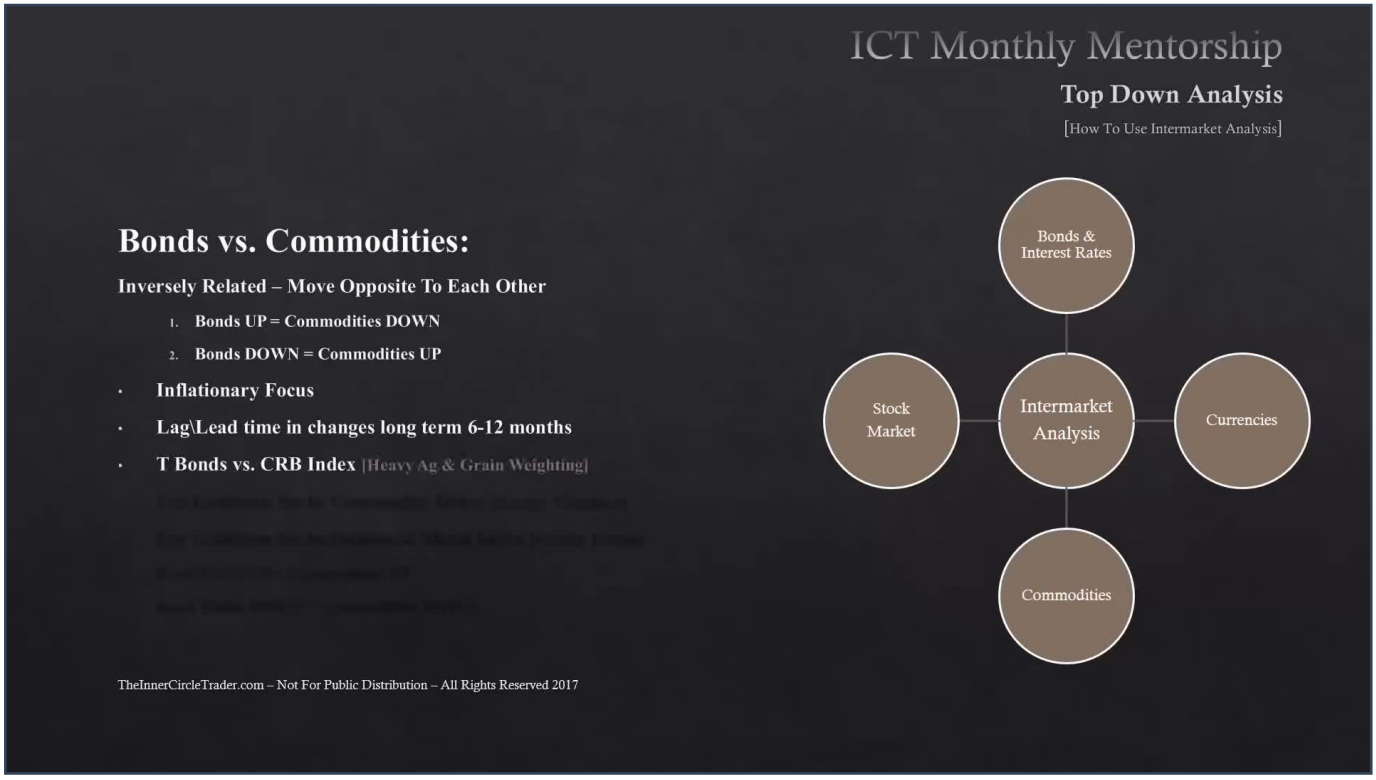


For long-term bond and commodity relationships, which are viewed from a long-term macro perspective, the lead and lag time can extend from 6 to 12 months before a trend change is observed.

- Commodities may turn up, and bonds may eventually turn lower later on.

- Bonds may turn up, and commodities may turn lower later on.

This relationship does not provide immediate, lock-step feedback because it's driven by long-term macro fundamentals. It takes time for interest rate changes or supply and demand factors related to commodity consumption or production to fully manifest.

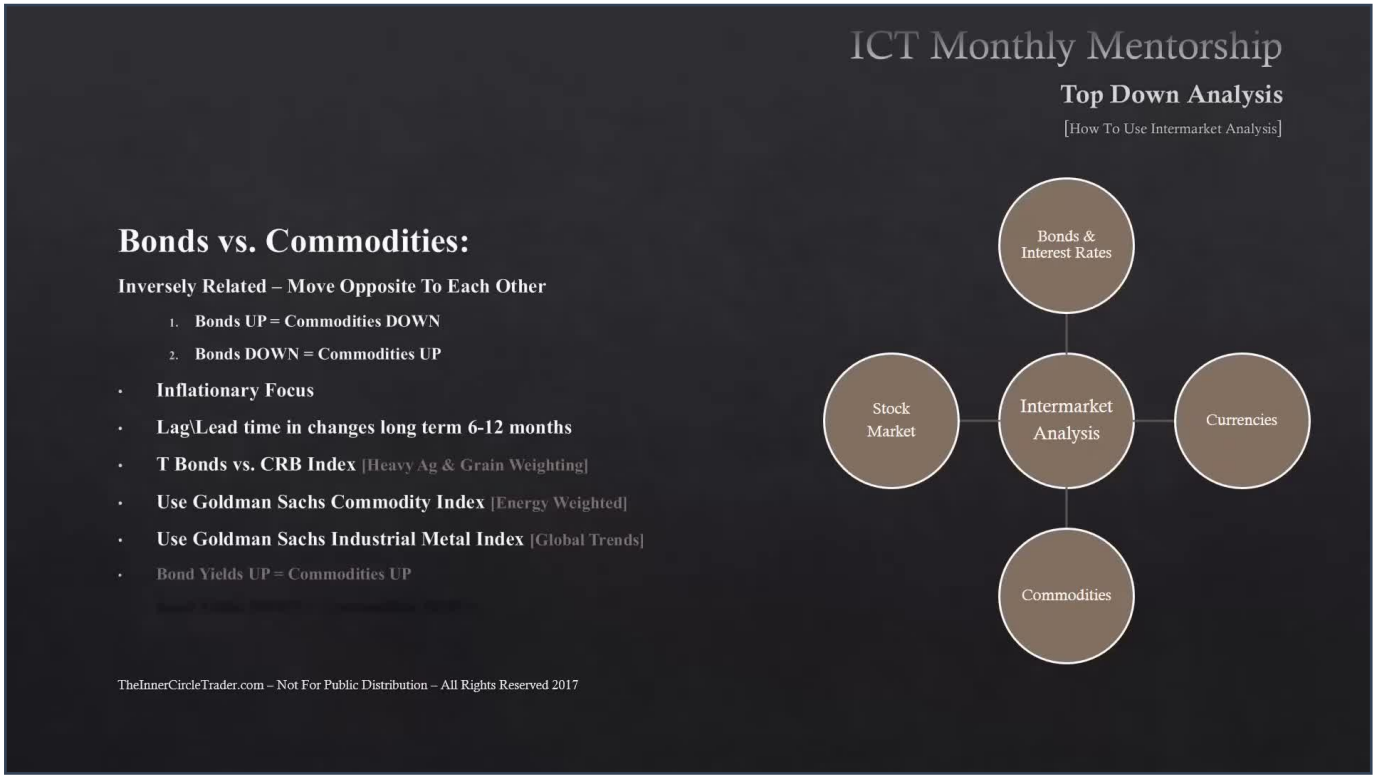


To measure the relationship between Treasury bonds (T-bonds) and commodities, you will use:

- CRB Index (Commodity Research Bureau Index): This index is heavily weighted with agricultural and grain markets, including soybean, wheat, corn, cattle, and hog prices. Keep this weighting in mind when interpreting the CRB Index.

- Goldman Sachs Commodity Index (GSCI): Use this index for an energy-focused view, as it is heavily weighted on energy. Weigh this against the bond market.

- Goldman Sachs Industrial Metal Index: This index focuses on global trends for industrial metals (e.g., zinc, tin, copper, aluminum), not precious metals like silver, palladium, platinum, or gold. It's highly sensitive to global demand and tendencies for Industrial Metals.



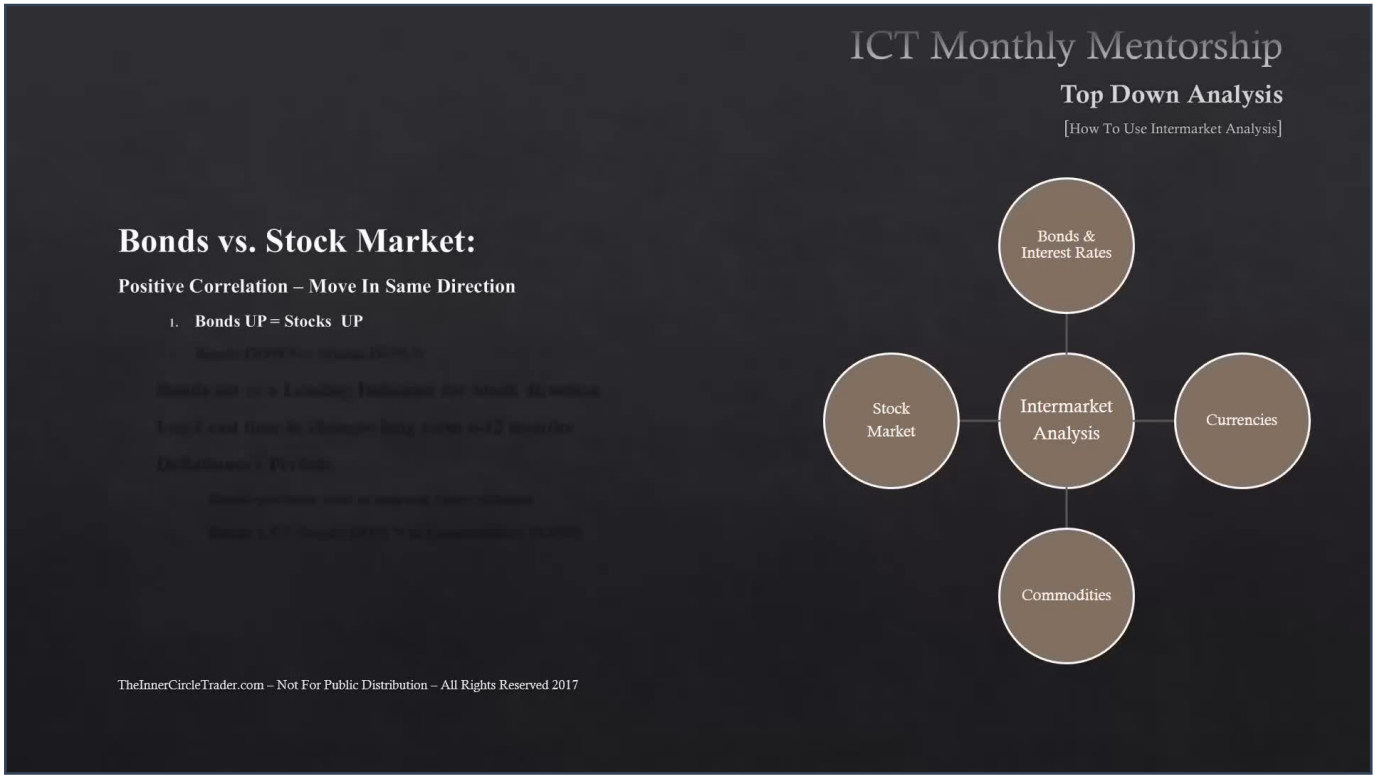
In summary, regarding bond yields and commodities:

- When bond yields are going higher (bond prices going lower), this will push commodities up.

- When bond yields are going down (Treasury bond market prices going higher), this will push commodities down.

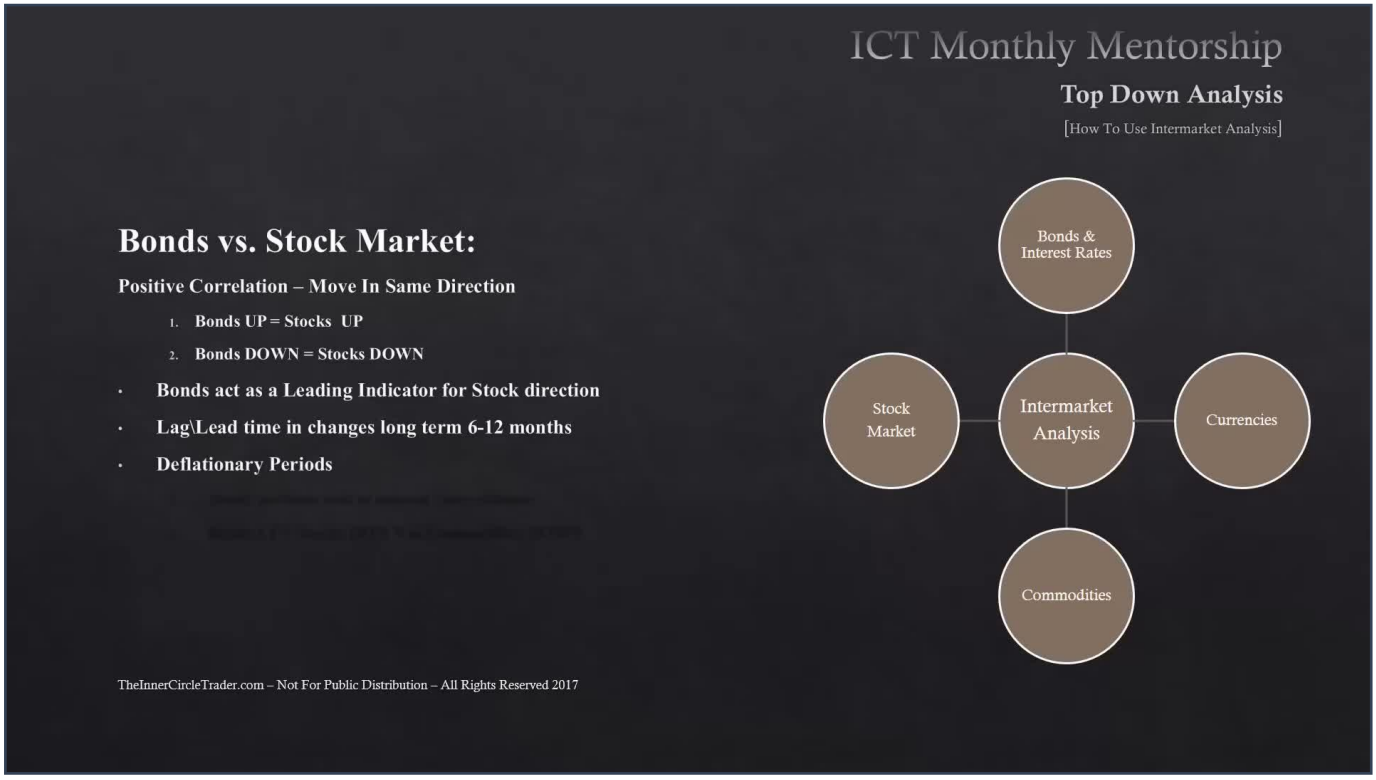
Now, concerning bonds versus the stock market:

This relationship has a positive correlation, meaning they move in the same direction.



When the bond market is trending or trading higher, it provides strength and support for stocks. Conversely, if the bond market is trending or moving lower, this will have a bearish effect on stocks.

The bond market (Treasury bond or 30-year benchmark) acts as a leading indicator for stock direction. The lead and lag time for changes in long-term trends can be 6 to 12 months. This means that long-term trends observed in the bond market may take up to a year to manifest in the stock market.



A caveat exists for deflationary periods, when prices are decreasing, though this is a rarity (e.g., late 1998 indications). During such times:

- Bonds perform very well as interest rate markets collapse.

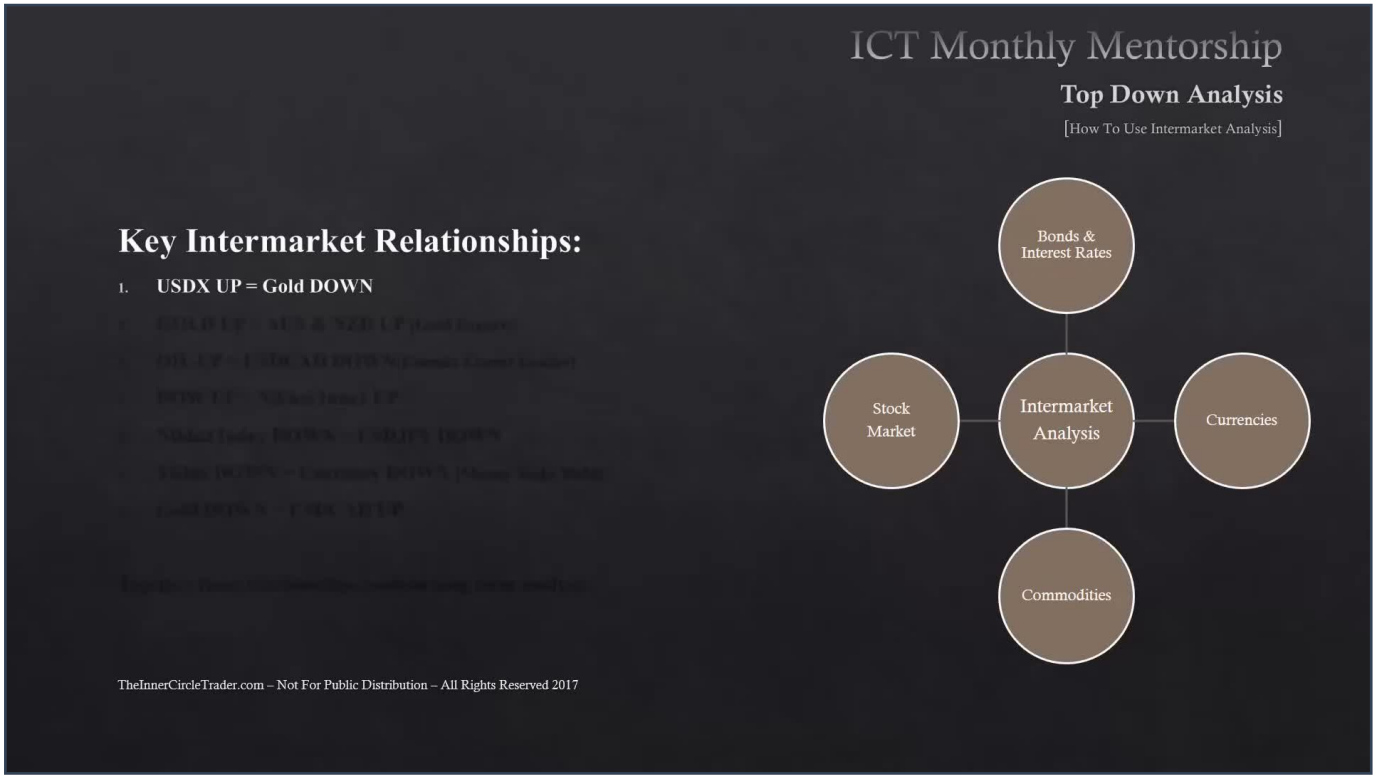
- Bonds (bond prices or Treasury bond prices) go higher.

- Stocks go lower.

- Commodities go down.

Such deflationary periods are rare and not anticipated anytime soon.

Now, let's examine some key intermarket relationships.



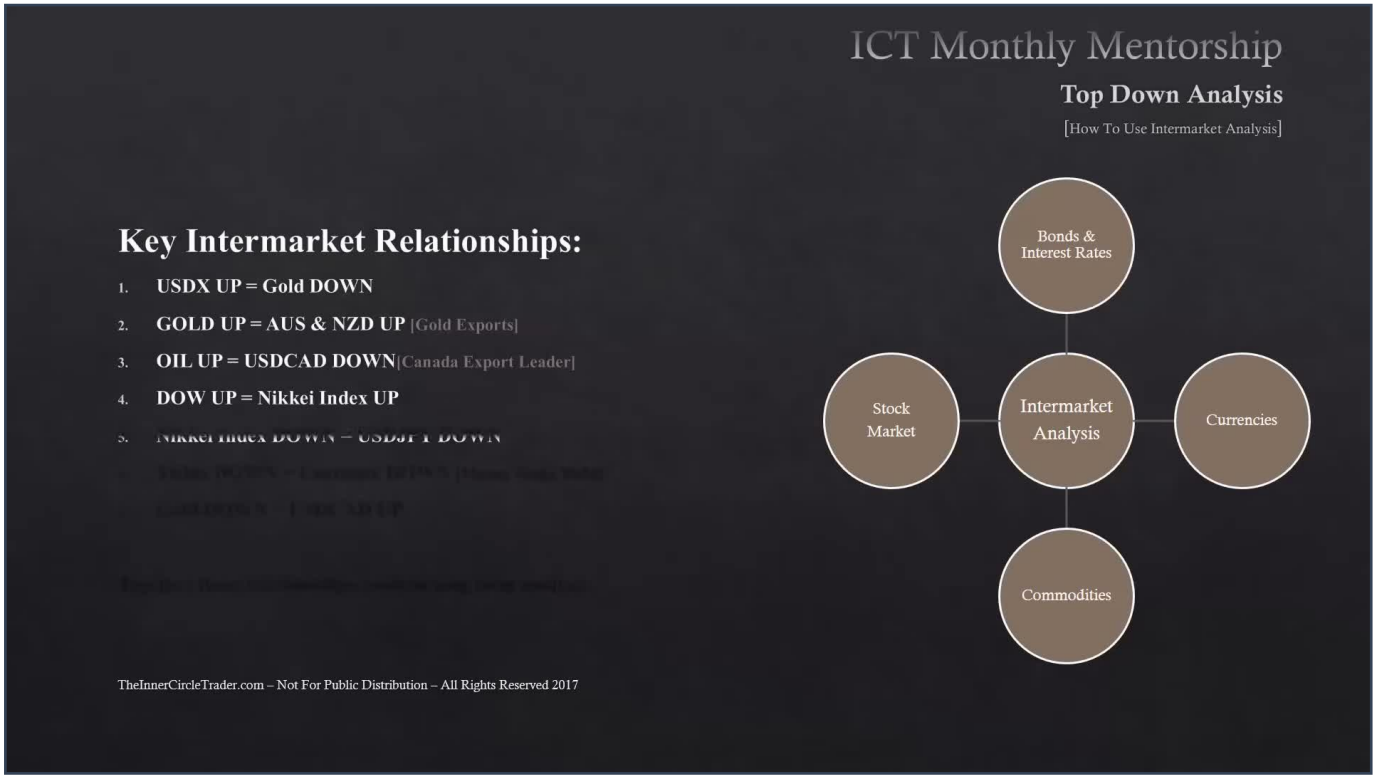
Here are specific intermarket relationships to observe:

- Bullish US Dollar Index typically leads to bearishness on gold.

- Bullishness on gold suggests bullishness for the Australian Dollar (AUD) and New Zealand Dollar (NZD) due to their nature as gold exporters.

- When oil is bullish, expect bearishness on USDCAD due to Canada's significant oil exports.

- A bullish Dow Jones Industrial Average (Dow) often coincides with a bullish Nikkei index, showing a direct relationship.



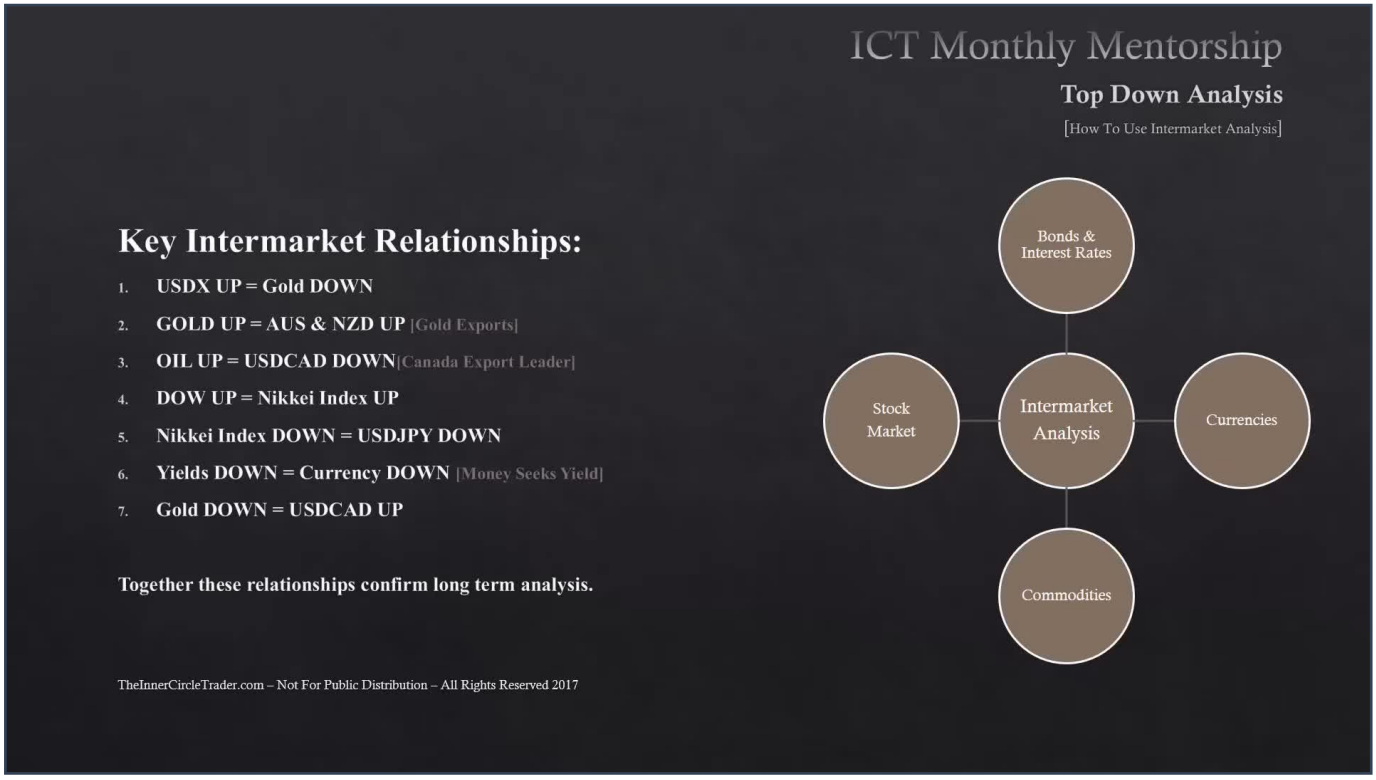
Additional specific intermarket relationships:

- A declining Nikkei index is generally bearish for the US Dollar versus Japanese Yen (USDJPY) pair.

- When yields are down or bearish, this typically leads to bearishness for the respective currency, as 'money seeks yield'.

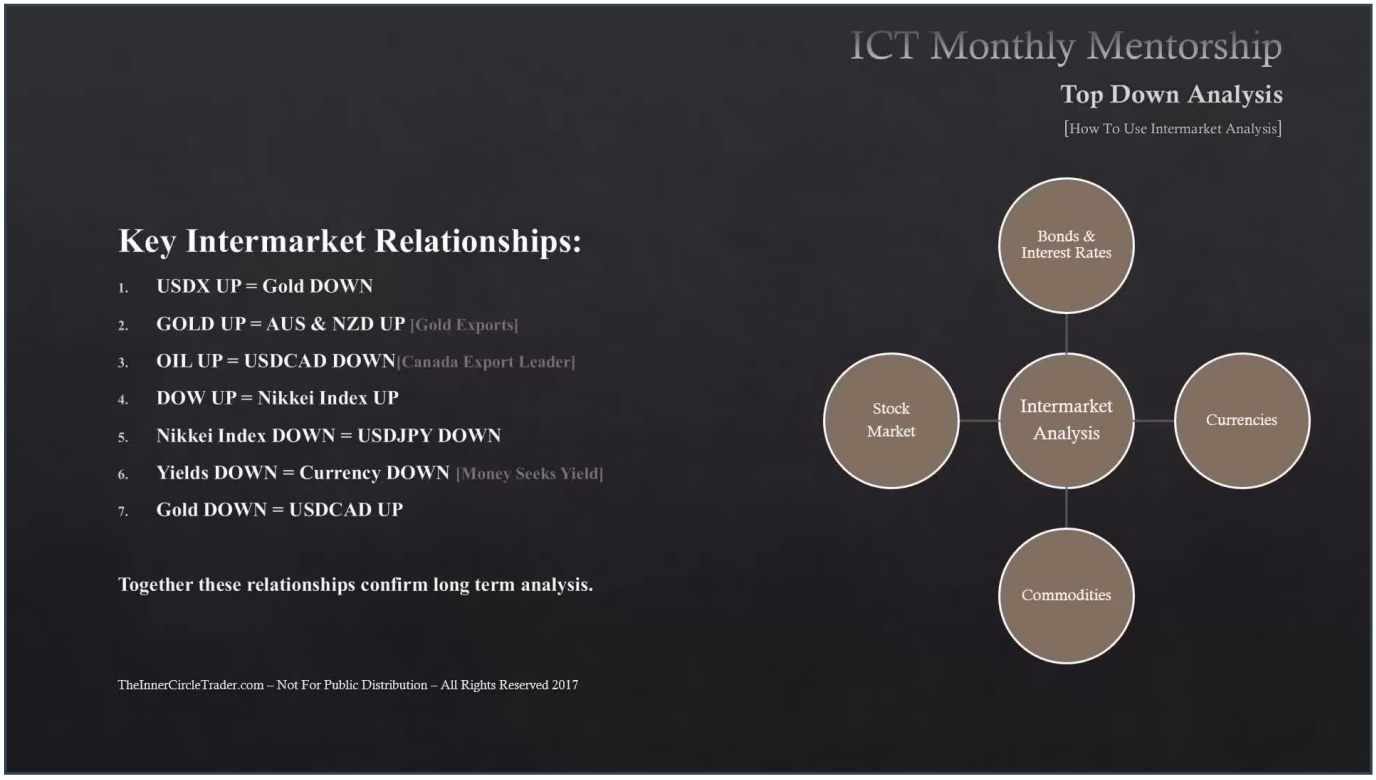
- When gold is bearish, this is usually bullish for the US Dollar versus Canadian Dollar (USDCAD).

Understanding all these relationships conceptually provides confirmation for long-term analysis.



If multiple intermarket relationships align with your long-term analysis, you are likely on the right path and looking in the correct market direction. Rarely will there be a wide disparity where these relationships do not align. A good sample size of aligned intermarket signals generally indicates that your long-term analysis will be true to form and pan out as expected.

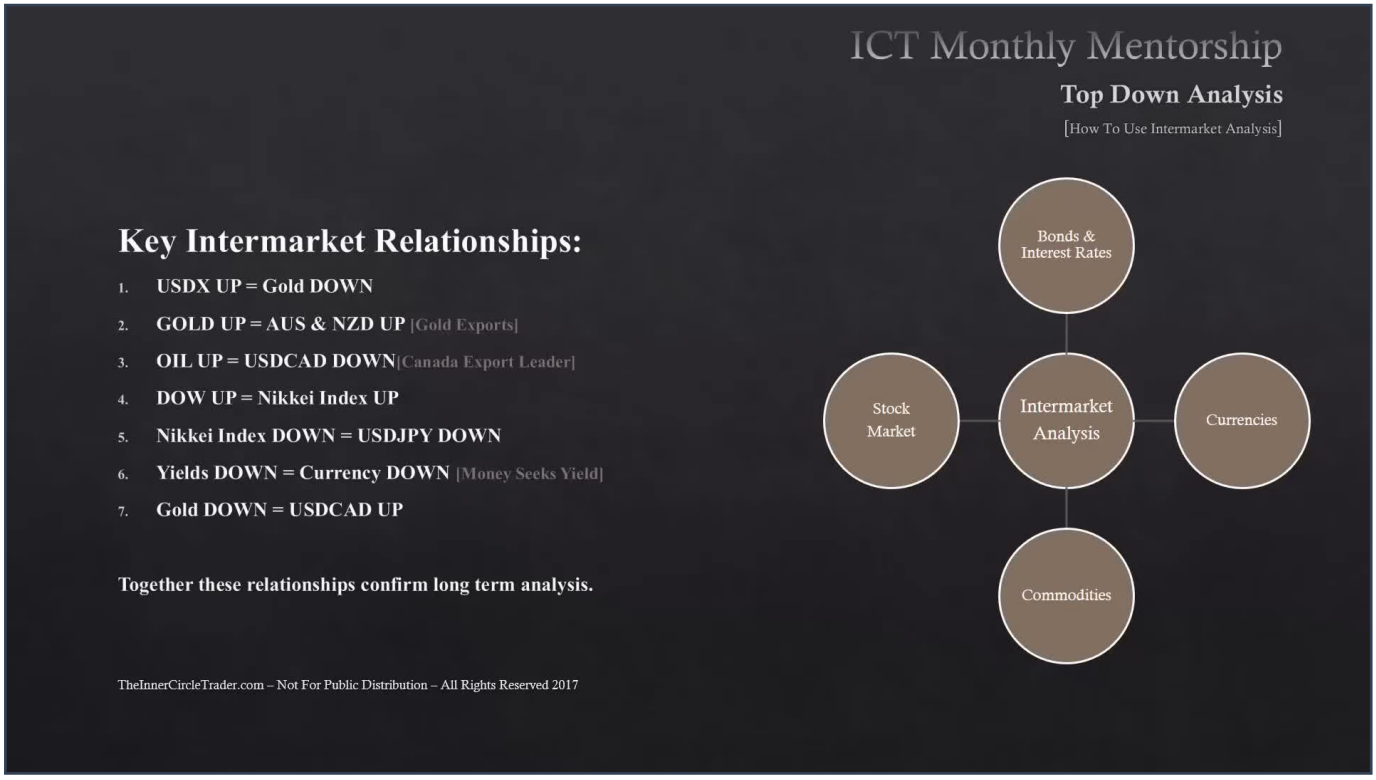
However, a significant challenge lies in timing long-term trend trading or analysis. It is difficult for traders to allow for larger movements against their initial entry point.



When trading on higher timeframe charts, personal time constraints often necessitate trading off a daily chart. Executing off a daily chart requires allowing for significant movement against your stop loss due to larger ranges and longer timeframes.

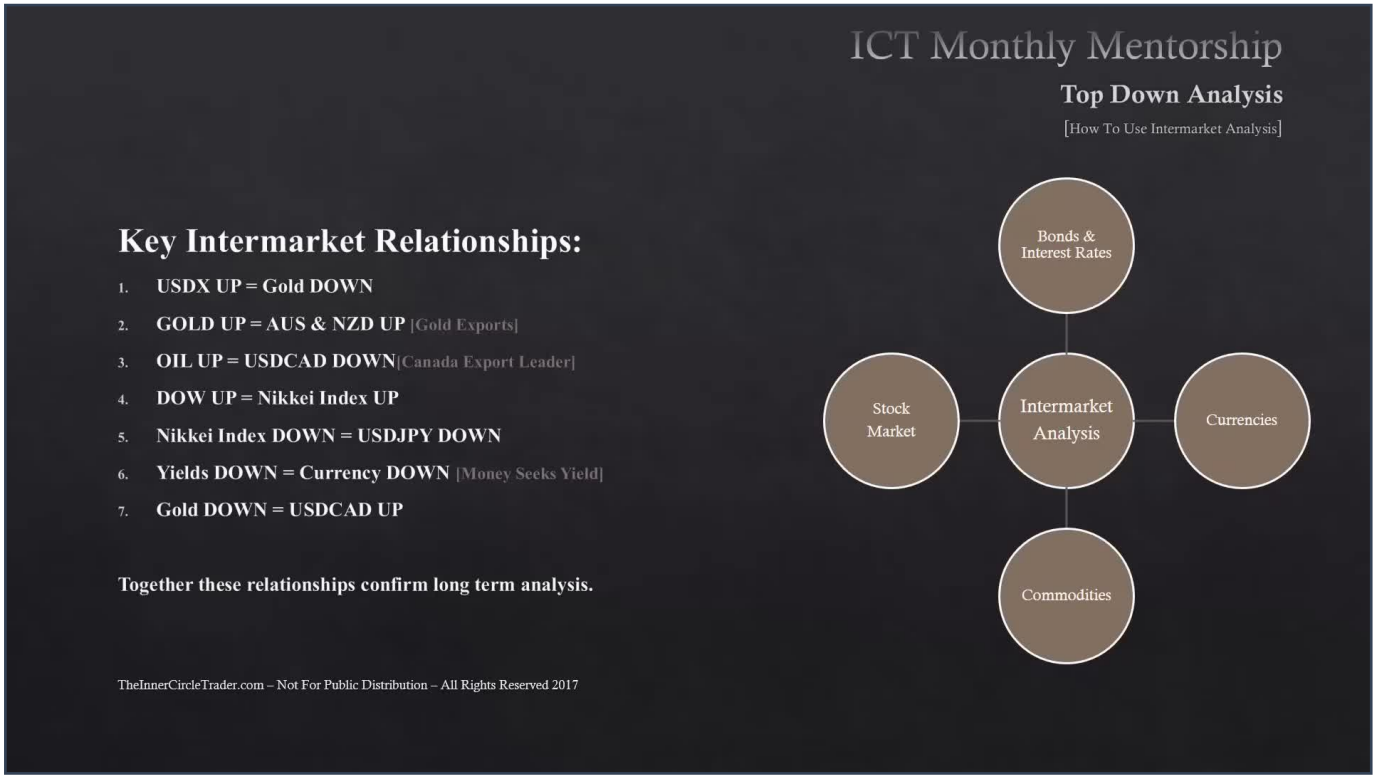
Despite these challenges, intermarket analysis is beneficial across all facets of trading: day trading, scalping, short-term trading, swing trading, position trading, and long-term scope. It helps build probabilities in your favor.

It is crucial to remember that nothing in this analysis equates to 100% certainty or guarantee. Market conditions can change instantly, and your interpretation of the charts can be wrong due to the inherent human element in analysis.



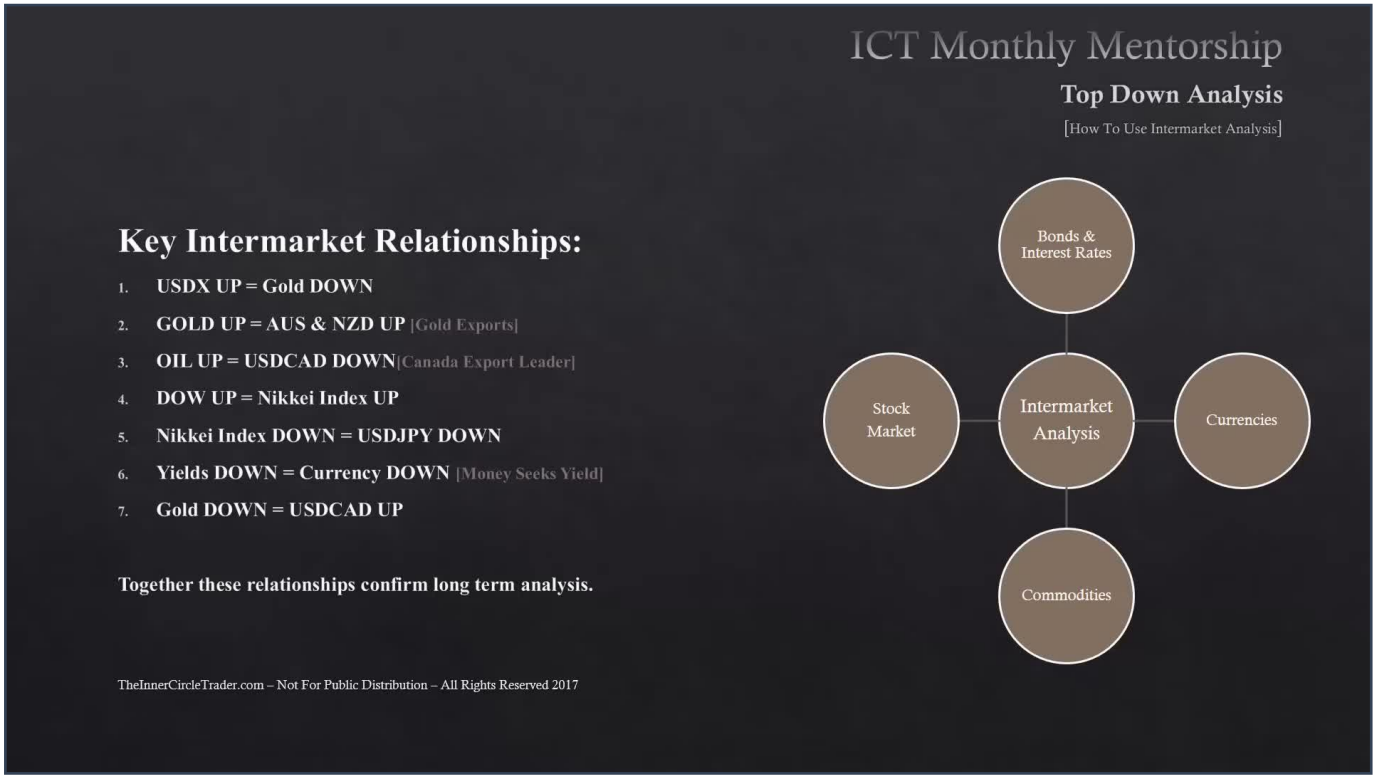
Spending time reviewing these intermarket relationships at a macro level reveals significant value. They lead to a long-term trend-following directional bias, especially when using higher timeframe daily charts. This provides confidence as a trader, knowing you are trading with the underlying fundamentals without requiring the immense time, energy, and diligence needed to sift through fundamental data.

The relationships outlined in this presentation will lead to the same outcome as fundamental data. Just as these intermarket relationships can lag, fundamental data also has a lagging effect. A bullish fundamental suggestion does not mean an immediate price surge; time is required for the market to build a bullish tendency and move higher.



Long-term macro trends can be identified as they start, shift, and move into place using the information shared in this presentation. This information is invaluable; it's not about 'sexy' charts, Judas swings, or patterns, but real insights into how markets work as a whole and how they interconnect.

This approach eliminates the need to pore over fundamental data, which can be a waste of time. Instead, simply observe what price is telling you. Price action across all asset classes collectively reflects what the fundamentals are truly doing. Large institutions, banks, producers, manufacturers, and exporters employ trained and accredited staff to use real fundamental data to forecast trends in sales and consumption, basing their business plans on these data points.



It is impractical for an individual trader to keep abreast of all fundamental data, given personal life and the constantly changing market. By observing the price of these four asset classes and their relationships in concert with one another, any trader can deduce the geopolitical macro trend and the underlying fundamental perspective of the market, effectively becoming a macro-perspective trader.

Until next time, good luck and good trading.